

The role of money



A person's overall wealth may consist of houses and paintings, a portfolio of shares, a fat bank account and sackfuls of cash. But only some of these assets are money – those which can be routinely exchanged for goods and services. What is it that distinguishes money from paintings or houses? Money is first a medium of exchange. Societies that do not have money face a problem known as the 'double coincidence of wants': if I want to buy a loaf of bread and have a piece of meat to give in exchange, then I need to find someone with bread who happens to want meat at the same time. Money solves this problem.

Money is also a unit of account. Wages, loan repayments, the prices of wheat or computers are all measured in the same comparable units. When a baker sells a loaf of bread, he earns a pound that he can use later on to buy a newspaper: money

therefore acts as a store of value, and it has been central to the emergence of modern economies.